

By starting to commit a certain percentage of her income to savings, Stacey could start to build an emergency fund that would be there for the unexpected expenses that are just part of life. Another possible solution to Stacey's money problems would be to analyze whether her mortgage was too much for her to handle. Usually prior to house hunting, a prepurchase home loan counseling with a loan officer or a credit counselor helps to ascertain the price range of a home that one can afford. Unfortunately, in Stacey's case, she didn't figure this out. Consequently, she ended up in a home that she qualified for, but which left her "house poor" with little money to pay for other expenses. Her possible solutions after the fact could include renting out a room, raising her income, or selling the house. All these choices are not necessarily pain free, but are a lot less painful than eventually losing the house to a foreclosure.

Surviving the Holidays

In contrast to Stacey, Melinda tried to avoid debt as much as possible. She did not believe in owing money and attempted to pay cash for everything she purchased. Melinda's philosophy was that if she did not have the money, she did not need the item. For this reason, Melinda dreaded Christmas. Her obligation to buy presents for her entire family forced her to purchase the gifts on credit. Melinda, at nineteen years old, was the youngest in a large family that each year grew in numbers as her brothers and sisters married and started to have children. This year she had to buy gifts for thirteen people.

How was it possible to enjoy the holidays when each purchase meant adding to her already overwhelming debt burden? But what choice did she have? She couldn't show up at her family's house on Christmas empty-handed. Melinda wondered how all the other relatives did it? Weren't they struggling

